

StratAgent Consulting Brief

Zomato

Problem Statement: Gig worker strike impact on operations and long term strategy

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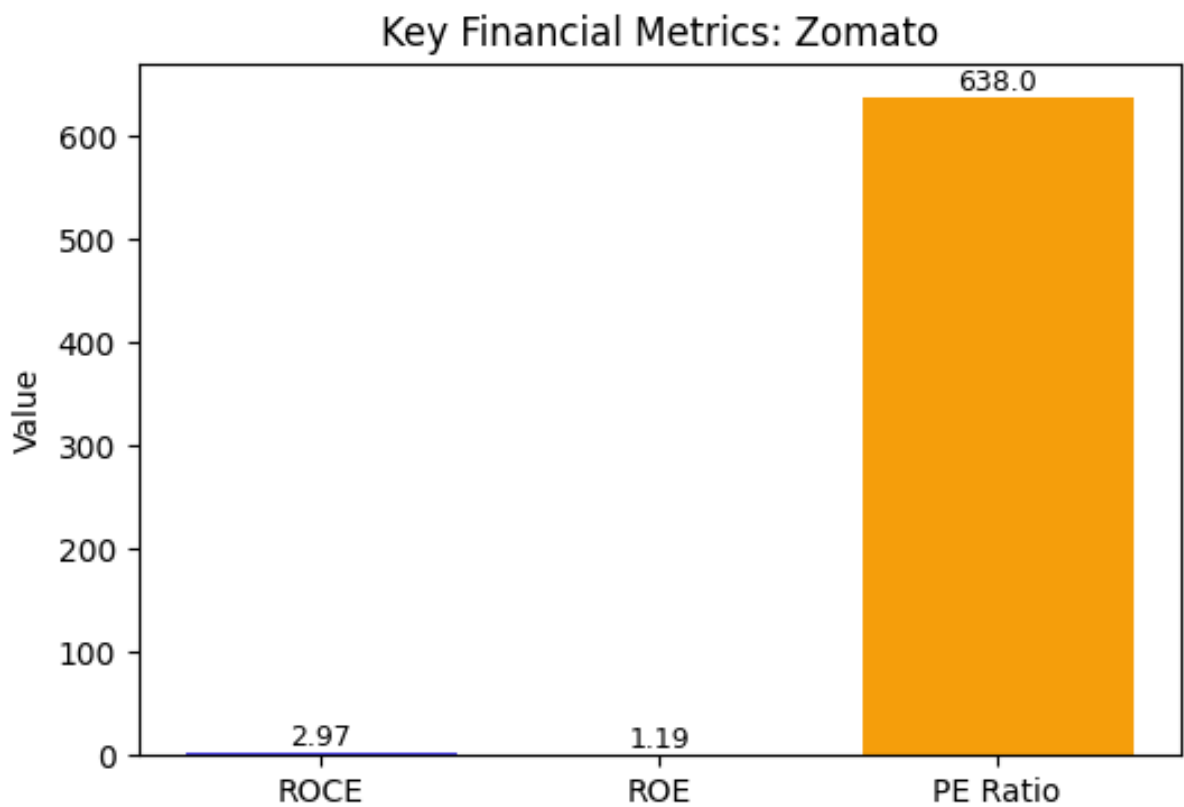
Framework Selected: MECE Issue Tree (McKinsey standard, 2020) - used for problem decomposition and root cause analysis to address the complex issue of gig worker strikes and their impact on Zomato's operations.

Situation

Zomato, a leading food delivery company in India, has a Market Cap of Rs. 2,33,490 Cr, a Current Price of Rs. 242, a Stock P/E of 638, an ROCE of 2.97%, and an ROE of 1.19%. The company's operations may be affected by the rising fuel prices, which could lead to an increase in the cost of orders for customers. The recent news headlines suggest that the company's financials are under pressure due to the gig worker strikes.

Strategic Tension

The most important tension for Zomato is balancing the need to maintain a stable and efficient delivery network with the need to address the concerns and demands of its gig workers, who are crucial to the company's operations.



Option 1: Implement a Rider Incentive Program

Overview: Implementing a rider incentive program can help reduce the frequency of strikes by providing

riders with additional incentives, such as higher pay, benefits, or rewards, which can lead to improved rider satisfaction and reduced turnover. For example, Zomato can offer a 10% increase in pay for riders who complete a certain number of deliveries within a specified time frame.

Option 2: Develop an Autonomous Delivery System

Overview: Developing an autonomous delivery system can help Zomato reduce its dependence on gig workers, which can mitigate the risk of strikes and improve the overall efficiency of the delivery process. Autonomous delivery systems can also provide customers with faster and more reliable delivery. For example, Zomato can partner with a technology provider to develop and test autonomous delivery drones.

Option 3: Establish a Rider Union Partnership

Overview: Establishing a rider union partnership can help Zomato establish a formal communication channel with riders, which can help resolve disputes and reduce the likelihood of strikes. A union partnership can also provide riders with a stronger voice and better representation. For example, Zomato can establish a partnership with a rider union to negotiate and agree on terms and conditions.

Recommendation

Based on the analysis, I recommend Option 1: Implement a Rider Incentive Program, as it can help reduce the frequency of strikes and improve rider satisfaction, while also being a more feasible and cost-effective solution compared to the other options.

Data Confidence

Sources: Screener.in data, news articles

Data Gaps: The exact number of gig workers, the frequency and duration of strikes, and the impact of rising fuel prices on Zomato's operations.

Key Assumptions: The assumption that the gig worker strikes are driven by concerns over pay, benefits, and working conditions, and that addressing these concerns can help reduce the frequency of strikes.